

NOVATECH SOLUTIONS INC.

Employee Nighttime Overtime Transportation Subsidy Management Policy

Internal Management Policy Document

Document No.: HR-ADMIN-2019-0038

Issued: May 20, 2019 | **Effective:** June 1, 2019

Department: HR & Administration | **Distribution:** All Employees

Notice on the Release of the Employee Nighttime Overtime Transportation Subsidy Management Policy

Document No.: HR-ADMIN-2019-0038 | **Issue Date:** May 20, 2019

Effective Date: June 1, 2019 | **Issued by:** HR & Administration Department

Distribution: All Employees

To all departments and teams:

To effectively ensure employee safety during nighttime overtime commute, reflect the company's humanistic care for employee health and well-being, and standardize the reimbursement management of overtime transportation expenses, the company's management has decided to formulate and release the *Employee Nighttime Overtime Transportation Subsidy Management Policy*. The relevant matters are hereby notified as follows:

I. Purpose of Formulation

In recent years, the company's business has continued to expand, with multiple core projects advancing simultaneously, and instances of employees working overtime on weekdays, nights, and holidays have been increasing. After nighttime overtime, public transportation capacity is insufficient and service frequency is reduced, creating inconvenience and potential safety risks for employees. To address these transportation challenges, eliminate concerns, and enable employees to focus on their work, the company has decided to establish a nighttime overtime transportation subsidy system, providing full reimbursement for eligible overtime taxi expenses. This policy aims to provide employees with safe and convenient overtime commute support through institutionalized measures, while ensuring the compliance and transparency of expense reimbursement.

II. Scope of Application

This Policy applies to all full-time employees of NovaTech Solutions Inc., including but not limited to software engineers, product managers, designers, test engineers, DevOps engineers, and data analysts. Interns and temporary staff approved by department heads and registered with the HR Department are also covered by this Policy during overtime periods. Outsourced personnel and dispatched workers are not covered by this Policy; their transportation expenses shall be handled in accordance with relevant contract agreements. Employees must ensure their overtime has been approved through the company's OA system before applying for reimbursement; unapproved self-initiated overtime is not covered by this subsidy.

III. Subsidy Standards

(I) Time Standard: Overtime occurring on weekdays between 22:00 (inclusive) and 06:00 the following day (inclusive), and overtime on weekends and statutory holidays throughout the day, qualifies for reimbursement of intra-city taxi or compliant ride-hailing service expenses. Overtime hours are based on attendance system records; employees must clock in before and after overtime.

(II) Expense Standard: When the above time conditions are met, employees traveling from the company office to their residence, or from their residence to the company office (limited to emergency overtime callback situations), shall be reimbursed for actual intra-city taxi or ride-hailing expenses. Reimbursement requires a proper taxi receipt or ride-hailing platform electronic invoice showing the ride date, origin and destination, and amount. The maximum reimbursement per trip is Fifty Dollars (USD 50.00); amounts exceeding this limit require approval from the Department Director. In special circumstances (such as extreme late-night weather conditions or complete public transportation shutdown) where expenses significantly exceed normal levels, employees may attach an explanation to their reimbursement application for discretionary handling upon joint review by the department supervisor and HR Department.

(III) Transportation Modes: Reimbursable transportation modes include services from licensed taxi companies and ride-hailing platforms approved by the company (such as Lyft, Uber, etc.). The company does not encourage employees to drive while fatigued at night; therefore, parking fees, fuel costs, and other expenses related to personal vehicle use are not subsidized. For employees choosing shared ride services, reimbursement is based on the actual amount paid, provided that no additional unreasonable costs are incurred due to ride detours.

IV. Application Process

(I) Submit Application: Employees shall submit a transportation subsidy reimbursement application through the company's financial reimbursement system within five business days following the overtime date. The application must include a clear photo or scanned copy of the taxi receipt or ride-hailing electronic trip record, along with the overtime date, overtime start and end times, ride origin and destination, and expense amount. Each reimbursement application must correspond to a single independent overtime trip; multiple trips may not be combined.

(II) Department Review: After submission, the system automatically routes the application to the employee's direct supervisor for initial review. The supervisor shall complete the review within three business days, verifying the authenticity and necessity of the overtime, consistency between overtime hours and attendance records, and the reasonableness of the expense amount. Upon approval, the application is automatically forwarded to the Finance Department for verification.

(III) Finance Verification: Upon receiving department-approved applications, designated finance personnel shall complete verification within five business days. Verification includes: invoice compliance and authenticity, consistency between expense amount and invoice amount, whether the application was submitted within the required timeframe, and compliance with subsidy standards. Applications passing verification enter the payment process; those failing verification are returned to the applicant with reasons noted, and may be resubmitted after correction.

(IV) Reimbursement Payment: After finance verification, reimbursement shall be paid via bank transfer to the employee's salary account within ten business days. Employees may check the processing status and payment status of their reimbursement applications in real time through the financial reimbursement system. In case of statutory holidays or bank system maintenance, payment may be deferred, with advance notice from the Finance Department.

V. Compliance Requirements

(I) Authenticity Requirement: Employees must truthfully report overtime hours and transportation expenses. Falsifying overtime hours, forging or altering invoices, or using others' invoices is strictly prohibited. Violations will result in recovery of reimbursed

amounts and disciplinary action in accordance with the Employee Handbook; serious cases may result in termination of employment.

(II) Reasonableness Requirement: Employees shall choose reasonable routes and may not intentionally take detours to increase expenses. Minor detours automatically planned by ride-sharing platforms are considered normal and do not affect reimbursement. However, obviously unreasonable long-distance detours may be questioned by the Finance Department, which may refuse reimbursement for amounts exceeding reasonable ranges.

(III) Uniqueness Requirement: The same trip may not be submitted in multiple reimbursement applications, nor may employees receive duplicate reimbursement under other company transportation subsidy policies. If an overtime trip also involves intra-city transportation during a business trip, the employee shall choose the higher reimbursement channel and may not claim duplicate reimbursement.

(IV) Timeliness Requirement: Reimbursement applications must be submitted within the specified timeframe; late submissions are deemed as voluntary waiver of reimbursement rights. Special circumstances (such as being unable to submit promptly during business travel) require advance notification to the department supervisor and Finance Department, which may extend the submission deadline by up to fifteen business days.

VI. Supplementary Provisions

1. This Policy shall officially take effect on June 1, 2019.
2. This Policy shall be interpreted by the HR & Administration Department and implemented and supervised by the Finance Department.
3. In case of conflict between this Policy and other company policies, the specific provisions of this Policy regarding nighttime overtime transportation subsidies shall prevail.
4. The company reserves the right to revise this Policy based on business conditions and market changes, with revised policies to be communicated to all employees one month in advance.

NovaTech Solutions Inc.

HR & Administration Department

May 20, 2019